

Alphabet Inc.
GOOGL NASDAQ

Buy \$381.77 ▲ 1.09% 12M Price Target \$425.00 52-Week Range \$193.67 – \$408.61

Market Cap
\$4.67T

GOOGL: AI Spending Boom Lifts All Boats, GOOGL Leading

WHAT HAPPENED

- GOOGL is up ~14% in a week (\$333 → \$381) — that's a monster move for a \$4.7T company. The trigger: Arista Networks blew out earnings this morning proving AI infrastructure demand is real, and Blackstone is pitching a \$36B debt deal to fund Anthropic's chip buildout. Translation: every dollar of AI capex flowing through the ecosystem lands partly in GOOGL's Cloud and TPU business.
- Volume today is way lighter (5.9M vs 30-45M prior days) — meaning this is drift-up on no sellers, not fresh buying frenzy. That's actually healthier; it says the recent buyers aren't flipping.

WHY IT MATTERS

The Anthropic chip story is the real signal here — Anthropic is *hiring their own chip team* AND raising \$36B in debt for chips, which tells you the AI compute arms race is entering a new phase where model companies want vertical control. That's bullish for GOOGL because they already own that stack (TPUs + Google Cloud + Gemini), and it validates why their capex is running at \$75B+. The insider selling looks scary but it's mostly programmed 10b5-1 sales at much lower prices (\$333) — nothing to worry about. Options flow is telling: heavy call buying at \$317-350 strikes, meaning big money bought this rally on the way up and is still positioned for more.

POLICY & POLITICAL WATCH

The elephant in the room is the DOJ antitrust remedy phase — the judge ruled against Google in search last year, and the remedies decision (could force divestiture of Chrome or restrict default search deals with Apple) is the single biggest overhang. Recent signals suggest the remedy will be lighter than feared (behavioral fixes rather than breakup), which is why the stock is finally re-rating higher. Separately, the Trump administration's AI Action Plan explicitly favors US-based AI infrastructure and has loosened export controls on AI chips to allied nations — that's a direct tailwind for Google Cloud's international expansion and TPU sales.

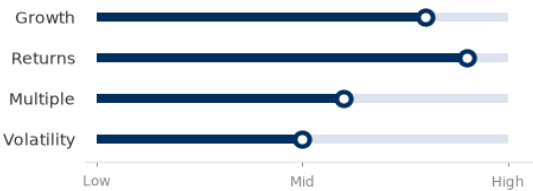
IS IT EXPENSIVE?

At \$381, GOOGL trades around 26x forward earnings — meaning investors are paying \$26 for every \$1 of profit the company is expected to make next year. That's still a discount to Microsoft (~32x) and Meta (~28x) despite Alphabet arguably having the best AI research org on the planet. The stock's been the "cheap Mag 7 name" for two years because of antitrust fear — if that fear keeps fading, there's another 10-15% of multiple expansion available before it looks expensive.

Key Data

Price (USD)	\$381.77
12M Price Target	\$425.00
Upside / (Downside)	+11.3%
Market Cap	\$4.67T
FY2026E Revenue	\$405M
FY2027E Revenue	\$460M
FY2026E EPS	\$9.80
FY2027E EPS	\$11.50
Fwd P/E	26.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$405.00	\$390.00	\$360.00
6 Months	\$445.00	\$410.00	\$340.00
1 Year	\$480.00	\$425.00	\$320.00
2 Years	\$560.00	\$475.00	\$300.00
5 Years	\$750.00	\$600.00	\$350.00
10 Years	\$1100.00	\$800.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+2% 5D) and Industrials (+6% 5D) — this is the "picks and shovels" AI trade. Every data center needs copper, steel, cooling systems, and grid equipment. Consumer Discretionary (+7% 5D) is running on rate-cut hopes.

COOLING OFF: Healthcare is down 1.3% on the week — drug pricing executive order chatter is spooking pharma. Comm Services (where GOOGL lives) is only +2.4% on the week, meaning GOOGL is outrunning its own sector — that's a signal of stock-specific strength.

ROTATION WATCH: Money is rotating from pure software into "AI infrastructure enablers" — Arista's blowout confirms networking, and Blackstone's Anthropic deal confirms private credit is flooding into AI. GOOGL sits at the intersection.

RELATED PLAY: If you believe the AI capex story, the second-order winners are utilities and nuclear names (data centers need power) and networking (ANET, VRT). Those are already running — GOOGL is the more conservative way to play the same theme.

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): Surged today on earnings proving AI networking demand is accelerating, not plateauing — direct read-through to Google Cloud infrastructure spend.
- AMD: Even though "results didn't impress," it's still a key beneficiary — the market is now discriminating between AI winners, and GOOGL is being sorted into the winner bucket.

GOOGL CONTEXT: GOOGL is *leading* the mega-cap complex this week — up 14% while the broader Comm Services sector is up 2.4%. That's stock-specific alpha, driven by antitrust fear fading + AI credibility rising. Leaders in a re-rating tend to keep leading for weeks, not days, so momentum is your friend here.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$365-375 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Adverse DOJ antitrust remedy (forced Chrome/Android divestiture) or cloud growth decelerating below 25%

Hedging: Buy protective puts 10% OTM or pair with short position in a pricier AI name like a hyperscaler competitor